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The Tax Set-Aside Cheat Sheet

The 15 percent habit that makes April boring. From the two CPAs at Smoky Mountain CPAs.

Every dollar your business earns has a slice that was never yours. If you spend it, April hurts. The fix is one habit: every time revenue comes in, move 15 percent of it to a separate tax account before you touch the rest. This sheet shows you the numbers, when 15 percent is not enough, and the three mistakes that undo the whole thing.

The 15 percent habit

Set aside 15 percent of revenue, every deposit or every transfer day, into a savings account named Tax that has no debit card attached.

What it covers: federal income tax and self-employment tax on your business profit, for a typical sole proprietor or single member LLC owner. It is a savings habit, not a tax calculation. Your tax preparer sets your actual estimates. We do not file taxes, and this sheet is not tax advice. It is the cash habit that means the money exists when the real number arrives.

What it does not cover: sales tax you collect from customers (that money was never yours at all and needs its own tracking) and payroll taxes if you have employees (those run through payroll).

The table

Monthly revenue	Set aside at 15%	At 20% if you run strong margins
$5,000	$750	$1,000
$10,000	$1,500	$2,000
$25,000	$3,750	$5,000
$50,000	$7,500	$10,000

A $10,000 month means $1,500 moves to the tax account. Two transfers of $750 if you allocate twice a month.

When to adjust up

- **You elected S corp status.** Salary plus distributions changes the math. Have your tax preparer set the percentage, and expect it to move.
- **Your margins are strong.** If more than about 30 percent of revenue survives as profit, 15 percent of revenue will run short. Move to 20 percent and confirm with your preparer.
- **You just had a big year.** Set-asides follow this year's profit, not last year's tax bill. Growth years are when owners get caught.

> When in doubt, set aside more. A tax account that ends the year heavy becomes profit. A tax account that ends the year light becomes a loan you did not agree to.

The three mistakes owners make with tax money

1. Keeping it in the operating account. A balance that includes tax money looks spendable, and Parkinson's Law does the rest. If it is not in a separate account, it is already gone.

2. Skipping quarterly estimated payments. The IRS wants its money four times a year, not once. Skip the quarterlies and you get one giant April bill plus underpayment penalties on top. Your tax preparer will give you the vouchers and the dates. Your job is having the cash ready, which is exactly what the 15 percent habit does.

3. Borrowing from the tax account in a slow month. It feels harmless because the deadline is months away. But there is no payback plan, the slow month repeats, and the account never recovers. If you have to touch it, write down the amount and the date it goes back, and treat that date like a bill.

Not sure what your real number should be?

Fifteen percent is the habit. Your actual number depends on your entity, your margins, and your state, and it lives in your books. If your bookkeeping cannot tell you what your profit actually is, no percentage will save you.

We are Brooks and Caroline, the two CPAs behind Smoky Mountain CPAs in Knoxville. We keep books clean and tax-ready for ecommerce sellers, boutiques, and contractors. We do not file taxes. We make sure the money and the numbers are ready for whoever does.

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